

Buy THE WAY

Even as the global meltdown brings bad news with every passing day, Indian technology companies cash in on the malaise and acquire foreign firms at unusually low prices

| By Nandini Vaish |

In his posh office in Mumbai's Nariman Point area, N. Chandrasekaran, chief operating officer and executive director of tech giant Tata Consultancy Services (TCS), sits back and takes stock of the remains of the global financial massacre, with almost a look of contentment. In December last year he acquired Citigroup Global Services Ltd (CGSL), Citi's BPO outfit, for \$512 million. With a CAGR (compound annual growth rate) of 27 per cent (FY05 to FY08) and a diversified revenue mix from America, Europe and Asia-Pacific, this could drive his company's growth for years.

But TCS is not alone. In August, HCL Technologies acquired Control Point Solutions (CPS), another American company for \$20.8 million. As the market malaise cuts valuations of companies in the US and UK, Indian tech majors are grabbing the opportunity to acquire. According to Venture Intelligence, a research service focused on private equity and M&A activity, Indian IT-enabled Services (ITES) and BPO firms made 44 outbound cross-border acquisitions between April and December last year, which was 27 per cent of the total num-

ber of cross-border acquisitions across industries. The value of 29 of these deals adds up to \$1.9 billion. Add to them the deals which got stalled, cancelled or held up, and the number of outbound acquisitions would be 63.

The deals include the WNS purchase of the Aviva BPO for \$230 million in July, Mumbai-based Rankin Solutions' acquisition of Cigniti, Infotech Enterprise's acquisition of Time to Market, Wipro Technologies' acquisition of Gallagher Financial Solutions. Compared to last year's high-voltage market, the number of deals may be fewer but, it clearly hasn't diminished the appetite of cash-rich companies. Tech companies "are out shopping", says T.J. Singh, research director at advisory firm Gartner.

But given the impact of the meltdown, where companies are freezing hiring to cut costs, how is that they are

TCS COO N. CHANDRASEKARAN, CFO S. MAHALINGAM, CEO S. RAMADORAI AND FORMER CITI-GROUP INDIA CEO SANJAY NAYAR AFTER THE ACQUISITION DEAL



still acquiring? "It makes sense for those who have cash as when the market looks up, the investments will bring them benefits," says Rajesh Jain, head of ICE at KPMG. Acquisitions can help firms tap complex markets or find capabilities and assets that are lacking here. "They can enhance their business domain and delivery capabilities, and also for the client pool," says Singh. Pawan Danwar, M&A and finance head, HCL Technologies-BPO Services, seconds it: "What better time to invest in a company when valuations are at a record low?" Or, as Chandrasekaran says "it becomes necessary to outsource

INDIAN IT & BPO FIRMS HAVE MADE 44 CROSS-BORDER ACQUISITIONS DURING APRIL-DECEMBER 2008.